MONOPOLISTIC Comp. QUESTIONS

1. A firm is operating in a monopolistic competitive market. Marginal Revenue is $9. And the elasticity of demand is -4. What is the Lerner index?

a) 5/9
b) 4
c) 0.25
d) -9
e) 0

2. In which situation would you expect the Lerner's Index of market power to be the lowest?

a) A monopoly operating in a market with few substitutes
b) A firm in monopolistic competition with many substitutes
c) A firm in monopolistic competition with few substitutes
d) A firm in cournot competition
e) Bertrand competition

3. A company has a monopoly on the production of enchanted mirrors. The inverse market demand curve for these mirrors is given by P = 200 - 3Q. The total cost of producing the mirrors is TC = 1000 + Q^2. What is the Lerner index in this market?

A) 1
B) .6667
C) .6
D) .3333
E) none of the above



4. The above pictures represent what (MARK ALL THAT APPLY)

a) perfect competition
b) Monopoly
c) monopolistic competition
d) Product differentiation
e) none of the above

5. A monopolist has set her level of output to maximize profit. The firm's marginal revenue is $50, and the price elasticity of demand is -2.0. What is the price in this market?

a) 50
b) 100
c) 150
d) 200
e) None of the above

6. A monopolist faces a linear demand curve given by $P=100-2Q$, where P is the price and Q is the quantity. The monopolist's total cost function is $TC=20Q+200$. What is the deadweight loss due to monopoly (assume the marginal cost curve would be the supply curve under perfect competition)?

a) 200
b) 400
c) 600
d) 800
e) None of the above

Use the following information for the next 2 questions:

A monopolist faces the following linear inverse demand curve: $P=200-2Q$
where P is the price and Q is the quantity produced.
The monopolist's total cost is $TC=100+20Q+Q^2$

7. What price will the monopolist charge?

a) 80
b) 100
c) 110
d) 140
e) None of the above

8. What will be the deadweight loss due to monopoly? You can assume the firm's marginal cost curve would be the supply curve under perfect competition.

a) 0
b) 110
c) 225
d) 450
e) None of the above

9. What tactic(s) could a firm use to gain market power? SELECT ALL THAT APPLY

a) Regulatory capture
b) Vertical integration
c) Horizontal integration
d) A price war
e) Frame mogging (this is a pathetic attempt at humor, do not mark it)

10. Which of the following markets would likely have the highest Lerner's index?
a) A firm operating in perfect competition
b) A firm in monopolistic competition with many substitutes
c) A firm in monopolistic competition with few substitutes
d) A firm in a commoditized market
e) Bertrand competition

11. A firm is engaged in monopolistic competition. Which of the following goods would have the highest mark up?
a) A good with elasticity of -.01
b) A good with elasticity of -.10
c) A good with elasticity of -1

12. A firm is operating in monopolistic competition. Marginal revenue is $6, while the price is $8. What is the Lerner index?
a) 1/4
b) 1/2
c) 3/4
d) Need more information

13. Which of the following markets would likely have the highest Lerner's index?
a) A firm operating in perfect competition
b) A firm in monopolistic competition with many substitutes
c) A firm in monopolistic competition with few substitutes
d) A firm in a commoditized market
e) Bertrand competition

14. A monopolist is maximizing profit. The firm's marginal revenue is $100, and the price elasticity of demand is -4.0. What is the price in this market?

a) 4
b) 50
c) 100
d) 125
e) None of the above

15. A company has a monopoly on the production of magic potions. The inverse market demand curve for these potions is given by:
$P=300-5Q$

The total cost function for producing the potions is:

$TC=500+Q^2$

What is the Lerner Index in this market to the nearest second decimal?

A) 0.71
B) 0.50
C) 0.20
D) 0
E) none of the above

16. Lay's Potato Chips company spends 163 million on advertising every year. Which concept from the class best describes why they do this?

a) Sunk Cost Fallacy
b) Monopoly
c) Average total cost
d) Opportunity Cost
e) Monopolistic Competition

17. A monopolist has set her level of output to maximize profit. The firm's marginal revenue is $50, and the price elasticity of demand is -2.0. What is the price in this market?

a) 50
b) 100
c) 150
d) 200
e) None of the above